

Emergency Procurement Procedure

Document Information

- **Document Number:** PROC-019
 - **Title:** Emergency Procurement Procedure
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 - **Owner:** Procurement Manager
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1. Purpose

This procedure defines the process for procuring goods or services under urgent circumstances where standard procurement timelines would result in significant operational disruption, safety risk, or financial loss.

2. Scope

Applies to all emergency procurement situations where goods or services are needed within a timeframe that does not allow for the standard procurement process.

3. Definitions

- **Emergency:** An unplanned situation requiring immediate action to prevent or mitigate harm to people, equipment, operations, or the environment.
- **Emergency Procurement:** Purchase of goods or services to respond to an emergency situation.
- **Retroactive Approval:** Approval obtained after the purchase has been made or commitment has been given.

4. When to Use Emergency Procurement

4.1 Valid Emergency Situations

Emergency procurement may be used only in the following situations: - Equipment breakdown causing production stoppage - Safety equipment failure or recall - Product contamination requiring immediate corrective action - Natural disaster affecting supply or operations - Regulatory compliance deadline requiring immediate action - IT system failure requiring emergency hardware or software

4.2 Non-Emergency Situations

The following are NOT valid reasons for emergency procurement: - Poor planning or forecasting - Failure to initiate standard procurement in a timely manner

- Budget approval delays - Convenience or preference for faster processing

5. Emergency Procurement Process

5.1 Verbal Authorization

The requisitioner shall contact the Procurement Manager to request verbal authorization for emergency procurement. The request shall include: - Description of the emergency situation - Goods or services required - Estimated value - Required delivery date - Justification for emergency

5.2 Procurement Action

Upon verbal authorization, the Buyer may proceed with procurement using the most expedient method: - Direct purchase from approved supplier - Emergency purchase from non-approved supplier (requires subsequent qualification) - Use of procurement card (P-card) up to \$5,000 limit - Phone or email order without formal PO

5.3 Documentation

Within 24 hours of the emergency procurement, the following documentation shall be completed: - Emergency Procurement Form (EPF-001) - Retroactive Purchase Requisition - Purchase Order referencing emergency authorization number - Incident report describing the emergency

5.4 Retroactive Approval

The following approvals shall be obtained within five business days: - Procurement Manager: Confirm emergency classification - Budget Holder: Approve retroactive PR - Finance Controller: Approve any un-budgeted spend - Procurement Director: Review and confirm for spends over \$50,000

6. Limitations

6.1 Value Limits

Emergency procurement without competitive bidding is limited to \$50,000 per occurrence. Emergency procurement exceeding \$50,000 requires Procurement Director and CFO approval.

6.2 Frequency

No more than three emergency procurements per department per quarter are permitted. Exceeding this limit shall trigger a management review of the department's procurement planning process.

6.3 Supplier Qualification

Any non-approved supplier used for emergency procurement must complete standard vendor qualification (PROC-012) within 30 days if ongoing supply is expected.

7. Review and Lessons Learned

Each emergency procurement shall be reviewed within 30 days by the Procurement Manager. The review shall assess: - Whether the emergency was valid - Whether costs were reasonable - Whether alternative non-emergency approaches were available - Actions to prevent recurrence

8. Related Documents

- PROC-001: Procurement Policy Overview
- PROC-034: Purchase Order Process
- PROC-012: Vendor Qualification and Evaluation
- EPF-001: Emergency Procurement Form